

FRAUD DETECTION & DISPUTE RESOLUTION PROCESS

Process Flow Report

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PORTFOLIO SAMPLE NOTICE

This document is an original, illustrative writing sample created to demonstrate technical writing and process-documentation capability. It models publicly known, industry-standard fraud detection and dispute resolution practices in card payments. It is not a Capital One internal document and contains no proprietary, confidential, or non-public company information.

Document Control

Field	Value
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Review Cycle	Annual, or upon material process change
Related Standards	Reg E (EFTA), Reg Z (TILA), PCI DSS, card network operating rules

Revision History

Version	Date	Author	Description of Change
0.1	Aug 20, 2026	M. Langley	Initial draft — process scoping and outline
0.5	Aug 28, 2026	M. Langley	Added detection and dispute sub-process flows
1.0	Sep 3, 2026	M. Langley	Final review; published for portfolio distribution

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1. Purpose

This report documents the end-to-end process by which suspected fraudulent transactions are detected, held, and — where the cardholder disputes a charge — investigated and resolved. It is intended for use by fraud operations analysts, customer service representatives, and new team members as a reference for how a transaction moves from initial screening through final case closure.

2. Scope

This process applies to consumer and small-business credit and debit card transactions processed through the card network. It covers:

- Real-time, automated fraud screening at the point of authorization
- Customer notification and self-service confirmation of flagged activity
- Formal dispute intake, evidence gathering, and merchant chargeback coordination
- Regulatory timelines under Regulation E (electronic fund transfers) and Regulation Z (credit billing error resolution)

Out of scope: wire transfer fraud, check fraud, identity-theft account takeover remediation, and merchant-side fraud prevention tooling — each governed by separate procedures.

3. Responsibilities

Role	Responsibility
Fraud Monitoring System (automated)	Screens every transaction in real time; applies rules-engine and ML risk scoring; routes high-risk transactions for review.
Tier 1 Fraud Analyst	Reviews system-flagged transactions; confirms or clears risk; initiates customer alerts.
Customer / Cardholder	Confirms or disputes flagged activity via alert response or by contacting customer service.
Dispute Resolution Specialist	Opens and manages dispute cases; gathers evidence; coordinates with merchant acquirer; issues provisional credit.
Compliance / QA	Audits case handling against Reg E / Reg Z timelines; retains records for examination.

4. Process Overview

The diagram below shows the complete lifecycle of a flagged transaction, from initial monitoring through case closure. Two sub-processes — Fraud Detection (Section 5) and Dispute Resolution (Section 6) — are expanded in detail in the sections that follow.

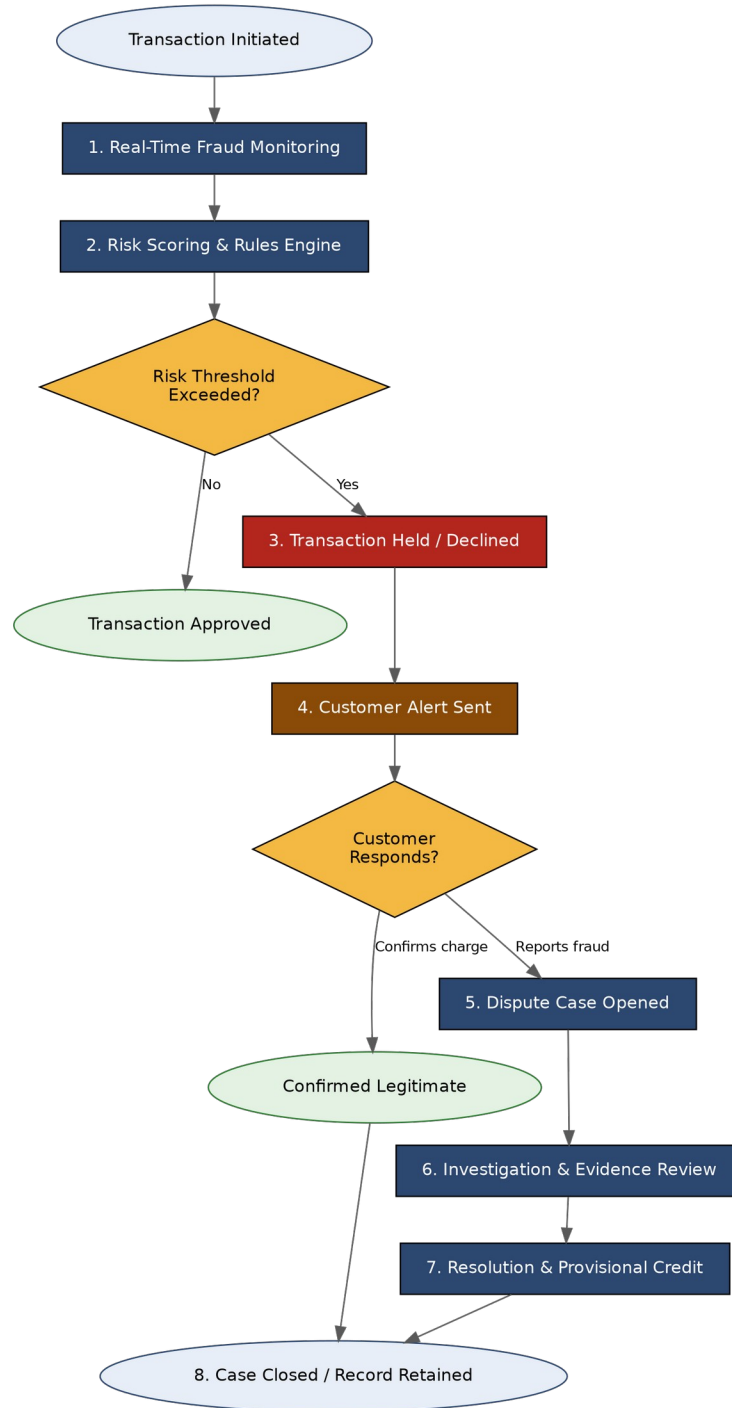


Figure 1. High-Level Fraud Detection & Dispute Resolution Process Flow

5. Fraud Detection Sub-Process

Every transaction is screened before authorization completes. The steps below detail how the system and Tier 1 analysts jointly determine whether a transaction should proceed, be escalated, or be held.

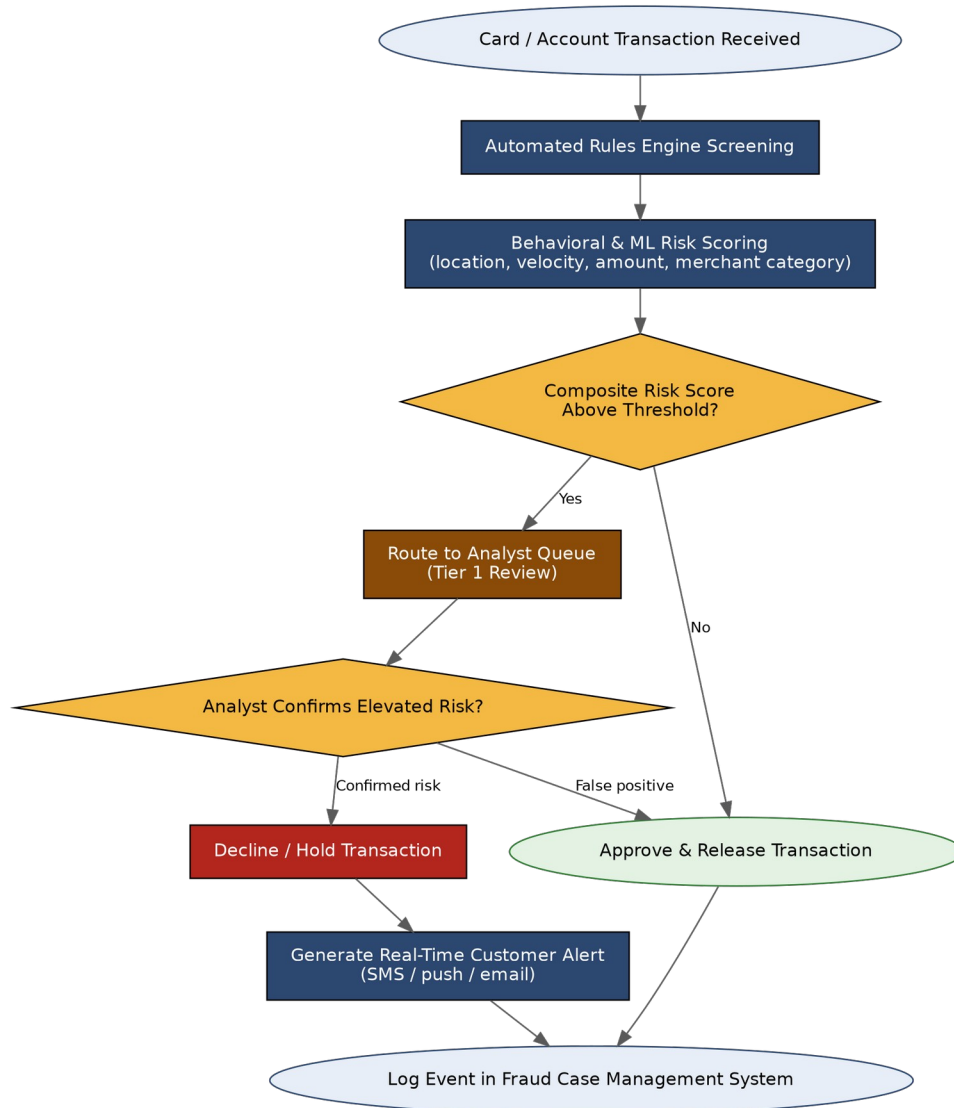


Figure 2. Fraud Detection Sub-Process Flow

5.1 Detailed Steps

Step	Action	Detail
1	Rules engine screening	Every authorization request is checked against static rules (e.g., blocked merchant categories, geo-velocity limits, spend caps).
2	ML risk scoring	A machine-learning model assigns a composite risk score based on transaction amount, location, merchant type, device fingerprint, and account history.

3	Threshold decision	Transactions below the configured risk threshold are approved automatically and logged with no customer interruption.
4	Analyst review	Transactions above threshold route to the Tier 1 queue for manual confirmation before a hold is finalized.
5	Customer alert	Held transactions trigger an immediate SMS, push, and/or email alert asking the customer to confirm or deny the activity.

CAUTION

Analysts must never disclose the specific rule or score that triggered a hold to the customer — only that the transaction was flagged for review. Disclosing scoring logic creates a fraud-evasion risk.

6. Dispute Resolution Sub-Process

When a customer reports a charge as unauthorized, a formal dispute case is opened. This sub-process governs evidence collection, merchant coordination, and resolution within regulatory timelines.

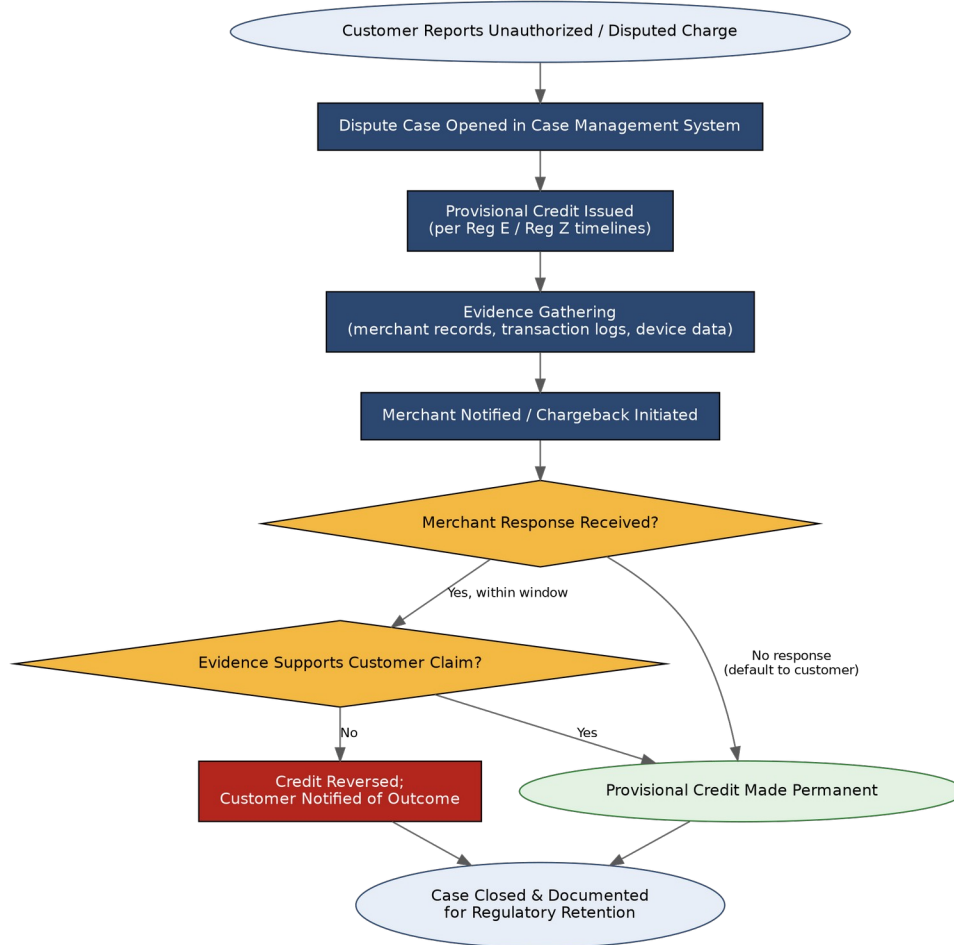


Figure 3. Dispute Resolution Sub-Process Flow

6.1 Regulatory Timelines

Requirement	Debit / EFT (Reg E)	Credit (Reg Z)
Acknowledge dispute	Within 10 business days	Within 30 days
Provisional credit	If investigation exceeds 10 days	Not required, but common practice
Final resolution	Within 45 days (90 for new accounts, foreign-initiated, or certain point-of-sale transfers)	Within 2 billing cycles, max 90 days

NOTE

Timelines above are illustrative and summarized for portfolio purposes. Production procedures must cite the current text of 12 CFR § 1005.11 (Reg E) and 12 CFR § 1026.13 (Reg Z) directly.

6.2 Dispute Intake Checklist

Use this checklist when opening a new dispute case to confirm all required information has been captured before escalation to evidence review.

- ☐ Cardholder identity verified (name, account, last 4 of card)
- ☐ Disputed transaction(s) identified by date, amount, and merchant
- ☐ Cardholder statement of dispute reason recorded verbatim
- ☐ Confirmation that card is not lost/stolen (routed separately if so)
- ☐ Provisional credit eligibility calculated and applied if applicable
- ☐ Case number provided to cardholder with expected resolution date

WARNING

A dispute must never be closed as "resolved" without a documented outcome letter to the cardholder. Undocumented closures are a top finding in regulatory examinations.

7. Risk & Control Matrix

This matrix maps each critical process point from Sections 5 and 6 to its primary risk, the control that mitigates it, the owning role, the evidence of control operation, and the metric used to monitor it.

Process Point	Risk	Control	Owner	Evidence	Frequency	Metric
Real-time transaction screening	Fraudulent transaction not flagged	Dual-layer rules engine + ML risk scoring	Fraud Ops / Model Risk	Daily model performance report	Continuous	False-negative rate (%)
Analyst review of flagged transactions	Inconsistent analyst judgment	Tier 1 review guidelines + secondary QA sampling	Fraud Ops Manager	QA sample audit log	Weekly	Analyst accuracy rate (%)
Customer alert delivery	Alert not received or delayed	Multi-channel alert with delivery confirmation logging	Fraud Ops / Engineering	Alert delivery logs	Continuous	Alert delivery success rate (%)
Dispute case intake	Incomplete case documentation	Mandatory intake checklist (Section 6.2) with field validation	Dispute Resolution Specialist	Case file completeness audit	Per case	% cases passing intake QA
Provisional credit issuance	Missed Reg E / Reg Z timeline	Automated case-aging tracker with escalation alerts	Compliance / QA	Case aging report	Daily	% cases within regulatory SLA
Merchant evidence review	Biased or incomplete evidence assessment	Secondary reviewer sign-off required on denials	Dispute Specialist + QA	Denial review log	Per denied case	Overturned-on-appeal rate (%)
Case closure & documentation	Undocumented closure (exam finding)	Mandatory outcome letter + closure checklist	Compliance / QA	Outcome letter archive	Per case	% closures with documented outcome

Appendix A: Glossary

Term	Definition
Chargeback	A forced reversal of a card transaction, initiated by the issuer on behalf of the cardholder, that debits the merchant's account.
Provisional Credit	A temporary credit issued to a cardholder's account while a dispute is investigated, required under Reg E once investigation exceeds the standard window.
Risk Score	A composite numeric value produced by the fraud model representing the likelihood a transaction is fraudulent.
Velocity Check	A rule that flags an unusual frequency or rate of transactions within a short time window.

Appendix B: Referenced Standards

- Regulation E — Electronic Fund Transfer Act (12 CFR Part 1005)
- Regulation Z — Truth in Lending Act (12 CFR Part 1026)
- PCI DSS — Payment Card Industry Data Security Standard
- Card network operating rules (issuer dispute and chargeback procedures)